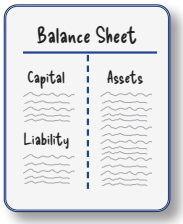
2.2 What are the different financial statements?

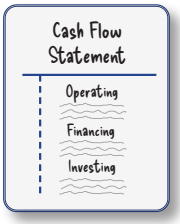
Now that you understand what financial statement analysis is, we also need to understand what financial statements are.

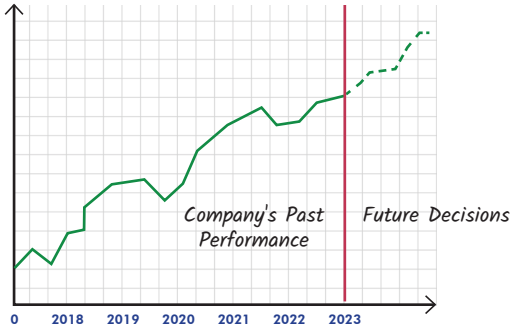
To understand company financial statement there are three financial statements that we will be analysing along with the notes to accounts:



Balance Sheet is a presentation of everything that the company owns(assets) and owes(liabilities).

Profit and Loss Statement shows total sales that a company has minus all the expenses that it has incurred in a given time frame.



Cash flow Statement shows all the cash inflow and outflow - for operations, investing and financing, by the company in a given time frame.

These three reports help in evaluating two things: